STARDOM Ventures

Q3 2024 REVIEW

STARDOM VENTURES

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SUMMARY

- **2024 Highlights:**
  - 1 new investment in amount of $2M
  - 5 follow-ons investment in amount of $3.5M
  - Fair market value: $55M
  - Gross Multiple: 1.3x

- **New investments in 2024:**
  - Voia- AI-Powered Video production of cinematic videos, delivering Hollywood-quality results while bypassing studio and equipment requirements to save time and money for visual storytellers. we invested $2M as a SAFE with a Cap of $15M and a 20% discount

- **Follow-On investments in 2024:**
  - Botika- $500K at a $13M pre-money valuation
  - Syte- $300K at a $1.4M pre-money valuation
  - Tedooo- $2.1M at a $22M pre-money valuation
  - Deepdub- $194K as a SAFE with a Cap of $83M and a 20% discount
  - Humanz- up to $1.6M as a SAFE with a Cap of $55M and a 25% discount

OUR VIEW OF THE MARKET

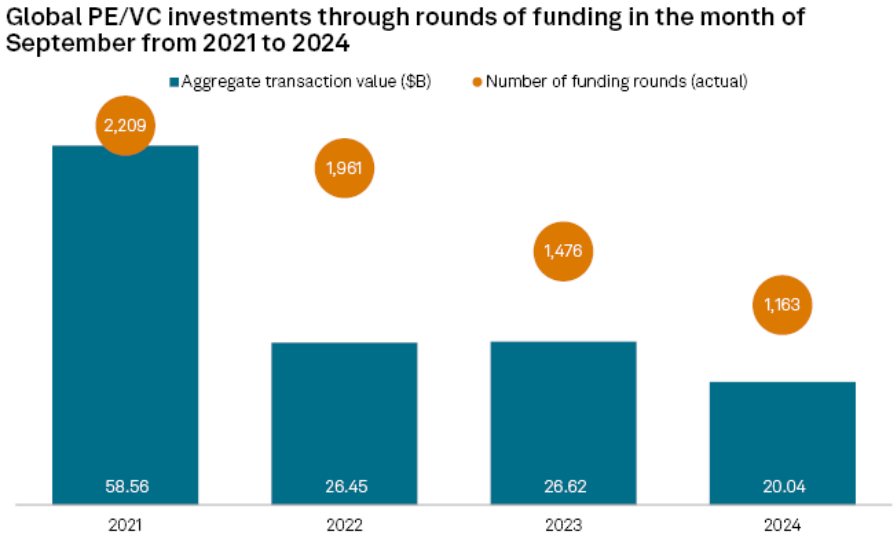
Q3 2024 Summary:

Global Markets:
In the public markets the recovery continues, the third quarter was strong for equity markets posting an all-time closing high to finish out the quarter. Since October 2022 the market started an ongoing bull rally - the Nasdaq 100, S&P 500, and Dow Jones Industrial average have achieved remarkable increases of 88%, 62%, and 46%, respectively.

The VCs are waiting for the private markets to recover as well, and although the public markets showed impressive returns, as well as great performance by many leading companies, it did impact as expected.

According to data from S&P Global Market Intelligence, deal value for the period spanning July to September totaled $61.32 billion, marking a 7.8% decrease compared to $66.54 billion in the same quarter of 2023. The number of announced transactions also contracted, dropping to 3,341 from 4,025 in the corresponding period of the previous year.

In September, global venture funding deal value reached $20.04 billion, reflecting a year-over-year decline of approximately 24.7%. Similarly, the number of funding rounds for the month decreased by 21.2%, falling to 1,163 compared to the same period in the previous year.



Data compiled Oct. 4, 2024.
PE/VC = private equity or venture capital.
Analysis includes global investments in rounds of funding announced between Sept. 1 and Sept. 30 of the respective years, where the buyer/investor is or includes a private equity or venture capital firm.
Excludes terminated deals and debt funding rounds.
Source: S&P Global Market Intelligence
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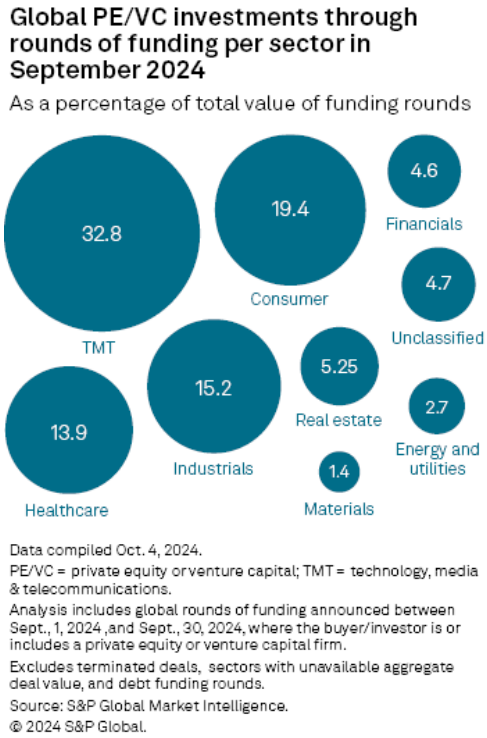
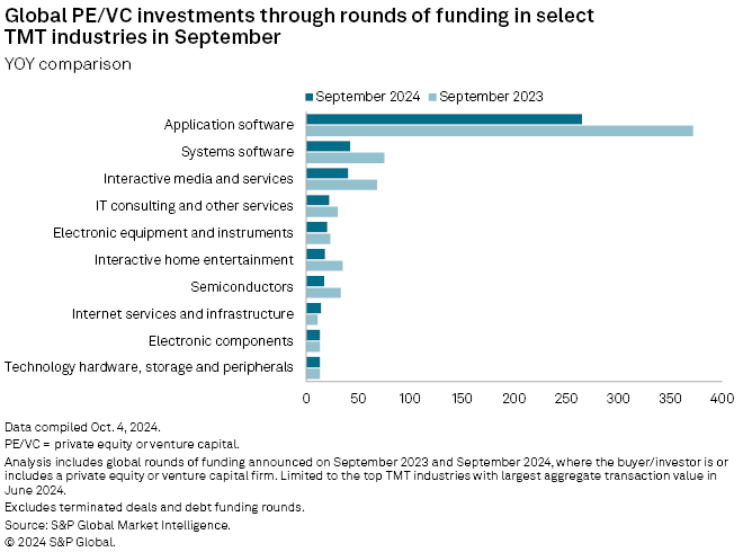
Media Sector:

There are very encouraging news looking forward towards Q4. The technology, media, and telecommunications (TMT) sector continued to lead as the largest recipient of venture capital in September, capturing a significant 32.8% of the global total. Consumer sector followed closely, securing 19.4% of the funding, reflecting ongoing investor interest in diverse industries. Both of these industires are the core of what Stardom invests in.

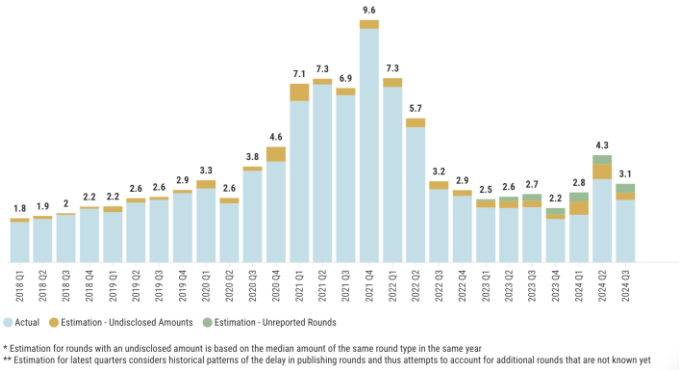


Within the TMT sector, application software companies demonstrated resilience, recording 265 funding rounds in September. While this figure was below the 375 rounds seen in the same month last year, it highlights sustained activity and interest in innovative software solutions.

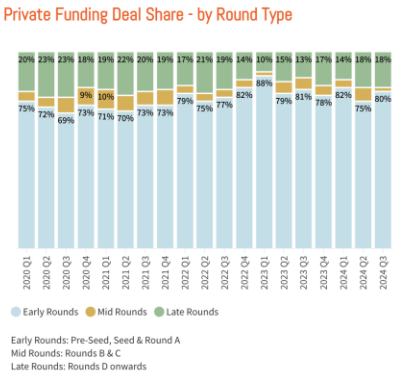


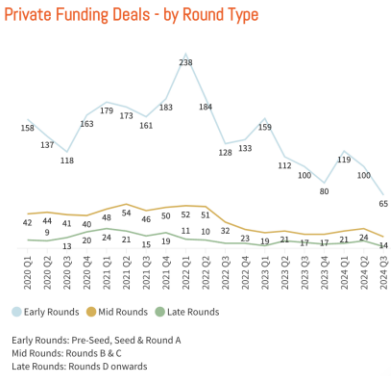
Israeli Market:

In Q3 2024, Israel's reported private funding dropped by 27% quarter-over-quarter to $2.5 billion. The number of rounds in Q3 2024 was 162, down from 206 in Q2 2024. This represents a continued slowdown on trend with recent quarters.



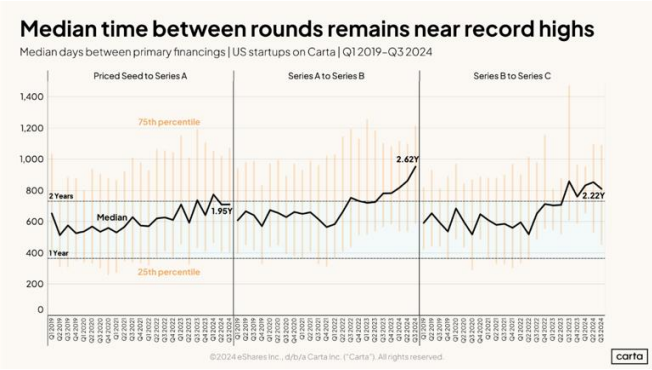
In Q3 2024 early-stage rounds dropped to 65 from 100 in Q2, yet still accounted for 80% of total funding rounds. Late-stage rounds maintained an 18% of share as in the previous quarter, while mid-stage rounds comprised only 2% – the lowest since Q1 2023.





Our portfolio:

Some companies achieved encouraging milestones in terms of new customers or revenues but the trends, support by global data (see below) is that it is still very difficult to raise Series A or B and most of the funding is done internally by VCs as bridge rounds until the markets will recover which we believe will be at the beginning of 2025. In general, most of our portfolio companies are gearing towards venture rounds during the upcoming year.



FINANCIALS

As of September 30, 2024

PORTFOLIO STATS

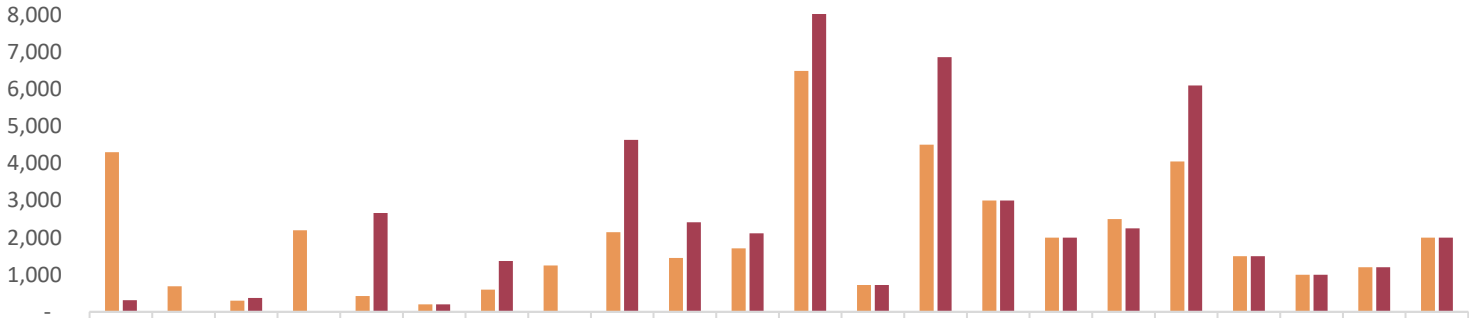
(In US thousands)

Fair market value	55,177	Number of First checks	22
Cost of portfolio companies	44,232	Avg amount of First checks	1,108
Gross Multiple (*)	1.3x	Number of Follow-ons	26
Number of exits	3	Avg amount of Follow-ons	764

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

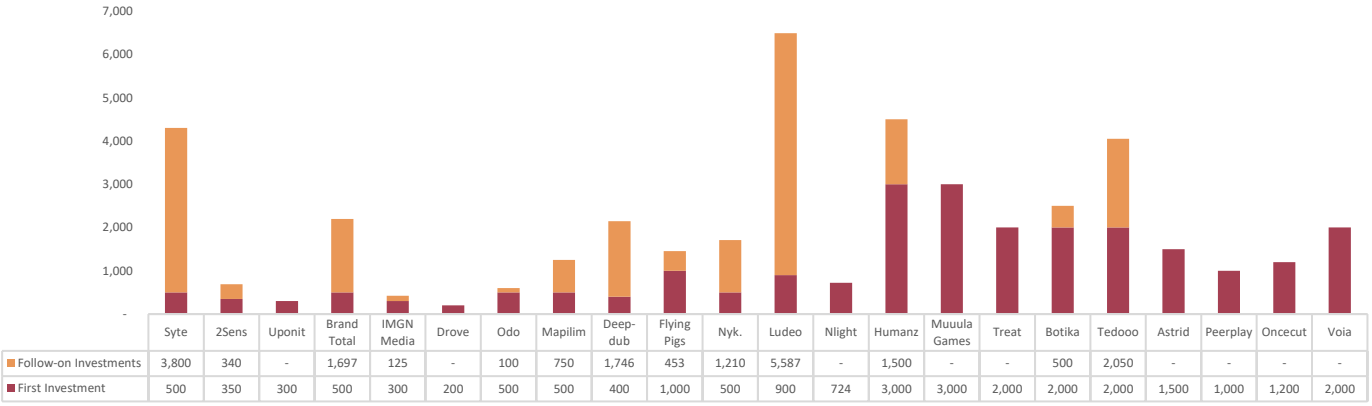
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Mapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay	Oncecut	Voia
FMV	313	-	375	-	2,660	200	1,370	-	4,629	2,414	2,114	14,475	724	6,857	3,000	2,000	2,250	6,095	1,500	1,000	1,200	2,000
Cost	4,300	690	300	2,197	425	200	600	1,250	2,146	1,453	1,710	6,487	724	4,500	3,000	2,000	2,500	4,050	1,500	1,000	1,200	2,000
Holding %	6.2%	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	Dissolved	5.8%	9.7%	7.2%	13.8%	7.8%	13.7%	18.8%	21.1%	13.2%	19.0%	SAFE	SAFE	SAFE	SAFE
Multiple X	0.1	-	1.3	-	6.3	1	2.3	-	2.2	1.7	1.2	2.2	1	1.5	1	1	0.90	1.5	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



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Follow-on Investments	3,800	340	-	1,697	125	-	100	750	1,746	453	1,210	5,587	-	1,500	-	-	500	2,050	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500	1,000	1,200	2,000

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: In May 2024, the company raised $4.5 million in Series A Round, led by Pereg Ventures. The company has successfully closed several new client deals, as well as a few significant renewals. Furthermore, the new management takes steps to reduce the high churn rate.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and is looking for new verticals to penetrate in order to boost performance and profitability.

FLYING PIGS

ABOUT: The company released a new app called Kwa-Kwa. Kwa-Kwa is a short mobile courses & workshops creation platform, that allows one-stop destination for engaging and enriching learning experiences. Users can either create their own course or find a world of knowledge via a curated selection of short courses and workshops, all conveniently tailored for mobile consumption.

PORTFOLIO UPDATE (cont.)

D E E P D U B

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: Deepdub has signed a major deal with one of the leading US streaming platforms. In October 2024, the company raised $3M from the current shareholders as a SAFE with a Cap of $83M and a 20% discount. We invested $194K.

N O W Y O U K N O W .

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology.

UPDATE: The company accelerates its content production and offering and planning to have over 30 courses by the end of 2024.

N L I G H T

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies. Due to the fact that the technology was blocked by Google, the company is pivoting to locating early-stage opportunities in the field of gaming and invest in them.

PORTFOLIO UPDATE (cont.)

L U D E O

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

UPDATE: The Company raised from current and new investors $5M as a SAFE with CAP of $300M. In addition, the company signed its first deal with a triple-A (AAA) gaming publisher and is expected to launch the game in November. This is a major milestone in the evolution of the company and a vote of confidence from the market. Furthermore, The company has been selected by Lightspeed and GamesBeat as one of the 25 Game Changer companies for 2025, out of 1,400 global nominations.

H U M A N Z

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

UPDATE: The company has over 20 paying customers in the US and is continuing its efforts to grow and expand in the US. The co-founder and CEO is moving to NYC to support the efforts to grow in North America and will step down from the CEO position to focus on this task and will be replaced by Liran Liberman who joined from Google. The company signed a SAFE in November 2024 with a maximum amount of $10M and a cap of $55M and 25% discount. The first tranche of our investment is $468K, and the second tranche can reach up to $1.1M, depending on the company's fundraising results and performance.

M U U U L A

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: The game development continues according to the original plan.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

UPDATE: Treat will reach a milestone of $5M ARR by the end of 2025 and it is constantly growing MoM. In addition, the company is experiencing some technical challenges as a result of the accelerated growth. The company is working to fix it and level up its R&D team as part of that.

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

In February 2024, the company raised $4 million in Seed Round.

Seed Round: $500K at $13M pre-valuation (13.2%)

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world. The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

UPDATE: In August 2024, the company raised $8 million in Series A Round led by Corner Ventures with participation from all existing investors. The company is continuing its accelerated growth and the new funding will allow it to expand to the US market.

Series A Round: $2.1M at $22M pre-valuation (19%)

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: A gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

UPDATE: The company released its alpha version of the product in December.

PEERPLAY

ABOUT: A gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

UPDATE: The game has been released in the US and working well. There are still some refinements needed to be made and a massive marketing campaign is planned for the beginning of 2025.

ONECUT.AI

ABOUT: The company mission is to use generative AI to mass produce authentic human-led video content and provide businesses a video content marketing machine

UPDATE: The company will release its first alpha product in November and the public beta will be released in January 2025.

VOIA

ABOUT: AI-Powered Video production of cinematic videos, delivering Hollywood-quality results while bypassing studio and equipment requirements to save time and money for visual storytellers.